East African Cables
Connecting lives

GROUP AUDITED RESULTS FOR THE YEAR ENDED 31ST DECEMBER 2016

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2016

	2016 KShs'000	2015 KShs'000
Turnover	**3,650,451**	**3,724,212**
Cost of sales	(2,846,146)	(3,110,205)
Gross profit	**804,305**	**614,007**
Other income	7,459	48,520
Expenses	(823,383)	(752,569)
Loss before impairment losses and depreciation	**(11,619)**	**(90,042)**
Impairment losses	(248,215)	(329,007)
Depreciation and amortization	(271,654)	(230,734)
Loss from operating activities	**(531,488)**	**(649,783)**
Interest expense	(258,851)	(125,027)
Exchange losses	(20,010)	(312,194)
Loss before income tax	**(810,349)**	**(1,087,004)**
Income tax credit	227,747	345,800
Loss for the year	**(582,602)**	**(741,204)**
Other comprehensive income		
Revaluation of property, plant and equipment	-	683,595
Revaluation of prepaid operating lease	-	829,370
Deferred tax on revaluation surplus	-	(453,890)
Foreign currency translation differences on foreign operations	(10,976)	(133,198)
Total other comprehensive income	**(10,976)**	**925,877**
Total comprehensive income for the year	**(593,578)**	**184,673**
Loss for the year attributable to:		
Owners of the company	(454,725)	(560,020)
Non-controlling interest	(127,877)	(181,184)
	(582,602)	**(741,204)**
Total comprehensive income attributable to:		
Owners of the company	(460,213)	170,123
Non-controlling interest	(133,365)	14,550
	(593,578)	**184,673**
Basic and diluted earnings per share KShs	**(1.80)**	**(2.21)**

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2016

	2016 KShs'000	2015 KShs'000
Assets		
Non-current assets	5,318,844	5,439,068
Current assets	1,983,936	2,945,075
Assets held for sale	245,626	-
Total assets	**7,548,406**	**8,384,143**
Equity and liabilities		
Share capital	126,563	126,563
Reserves	1,872,389	2,332,602
Non-controlling interest	557,457	690,822
Non-current liabilities	1,672,873	2,079,046
Current liabilities	3,319,124	3,155,110
Total equity and liabilities	**7,548,406**	**8,384,143**

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2016

	2016 KShs'000	2015 KShs'000
Cash generated from operations	597,105	146,943
Income taxes paid	(34)	(2,315)
Cash generated from operating activities	**597,071**	**144,628**
Cash used in investing activities	(409,767)	(202,212)
Cash (used in) / generated from financing activities	(53,298)	261,590
Net increase in cash and cash equivalents	**134,006**	**204,006**
Cash and cash equivalent at 1 January	(88,820)	(292,826)
Cash and cash equivalent at 31 December	**45,186**	**(88,820)**

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY AS AT 31 DECEMBER 2016

	2016 KShs'000	2015 KShs'000
Share capital	126,563	126,563
Share premium	545	545
Revaluation reserves	1,712,620	1,712,620
Revenue reserves	256,699	711,424
Exchange reserves	(97,475)	(91,987)
Total equity attributable to owners of company	1,998,952	2,459,165
Non controlling interest	557,457	690,822
Total Equity	**2,556,409**	**3,149,987**

Commentary

Group revenue declined by 2% attributed to decrease in London Metal Exchange prices. Despite the drop in revenues, the group recorded a 31% increase in gross profit levels owing to production efficiencies derived from the modernized factory and lower raw material prices. With containment of factory overheads, reduced impairment losses and stability in foreign exchange, the group's net earnings improved by 21% from a loss of KShs 741 million to a loss of KShs 583 million. In the year under review, the group generated cash from operations amounting to Kshs 597 million attributed to prudent working capital management.

Dividend

The directors do not recommend payment of a dividend.

Outlook

The group has formulated a clear turn-around strategy to return it to full profitability. With an order book of Kshs 4.2 Billion under execution and an expanded production capacity, the group has strengthened its relations with key suppliers for sustained supply of raw materials at Just-in-time program while at the same time focusing on shorter collection periods from its customers to improve its cash flows. Additionally, the group continues to seek improved credit facilities that meet its operating requirements and reduce interest costs including refinancing current facilities and enhancements to meet increased working capital requirements.The Board of Directors is confident that this strategy will bear fruits in the medium term and provide deserved returns to stakeholders.

By Order of the Board
Virginia Ndunge, Company Secretary
Nairobi
28th April, 2017

The above results are extracted from the consolidated financial statements of East African Cables Limited for the year ended December 2016, as audited by KPMG Kenya, Certified Public Accountants and on which an unqualified opinion has been given.